At-risk customers are the largest immediate retention opportunity

Customer segmentation report | Synthetic transaction data | RFM analysis

Executive Summary

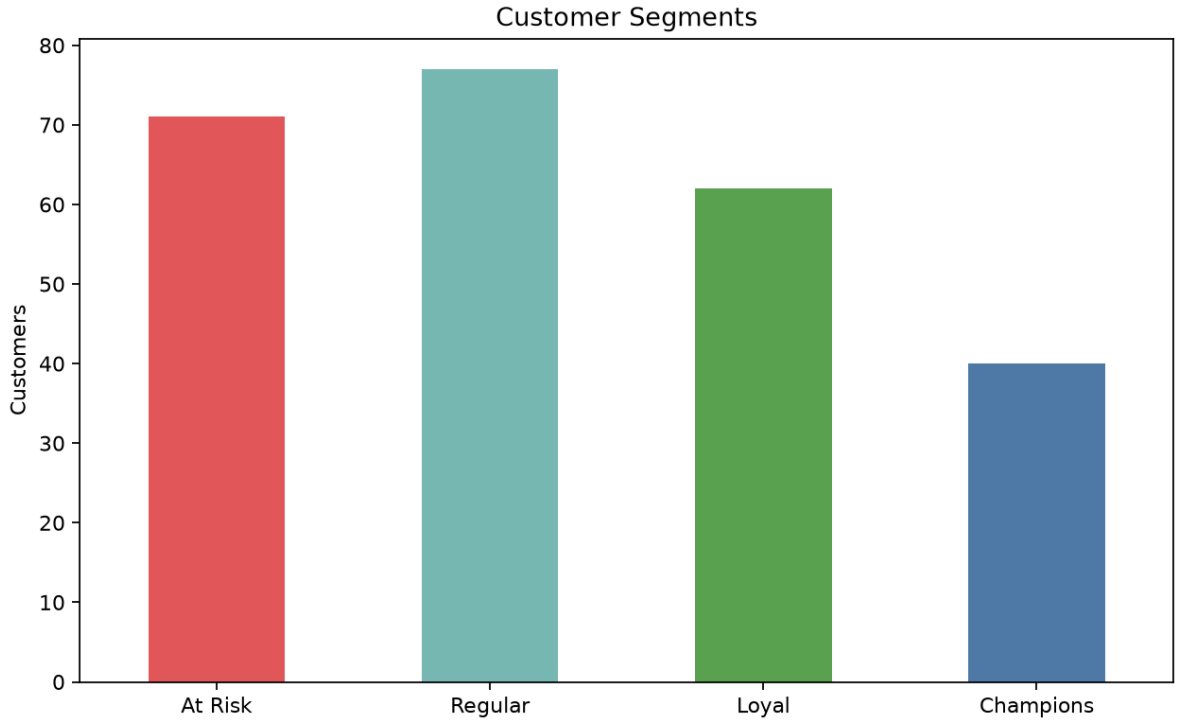
250	149.5k	40	71
CUSTOMERS	TRANSACTION VALUE	CHAMPIONS	AT-RISK CUSTOMERS

- The analysis classified 250 customers using recency, frequency and monetary value.
- Champions account for 16.0% of customers, while the At Risk segment represents 28.4%.
- The segmentation is intended to support differentiated retention and engagement actions rather than a single campaign for all customers.

Segmentation Logic

Customers receive quartile scores from 1 to 4 for recency, frequency and monetary value. The combined score maps customers to four easy-to-explain segments: Champions, Loyal, Regular and At Risk.

Regular and At Risk customers form the largest opportunity



Segment	Customers	Share	Suggested objective
Champions	40	16.0%	Reward and referrals
Loyal	62	24.8%	Cross-sell and recognition
Regular	77	30.8%	Increase purchase frequency
At Risk	71	28.4%	Win-back and feedback

Recommendations

- Prioritize At Risk customers with a time-limited win-back journey and collect reasons for inactivity.
- Offer Champions early access or referral benefits instead of unnecessary broad discounts.
- Track movement between segments monthly and compare campaign response against a holdout group before claiming impact.

Method and limitations

The snapshot date is 1 January 2026. Quartile scoring is relative to this sample, so thresholds will change with a different customer base. The transaction data is synthetic and does not represent Tata or any real client.

Reproducibility

Source: data/transactions.csv. Analysis: analysis.py. Generated outputs: customer_segments.csv, segment_summary.csv and rfm_segments.png.